1-5b Statement of Stockholders’ Equity

The statement of stockholders’ equity reports the changes in stockholders’ equity for a period of time. It is prepared *after* the income statement, because the net income or net loss for the period is reported in the Retained Earnings column. It is prepared *before* the balance sheet, because the amount of common stock and retained earnings at the end of the period is reported on the balance sheet. Because of this, the statement of stockholders’ equity is viewed as the connecting link between the income statement and the balance sheet.

NetSolutions had three types of transactions during November that affected its stockholders’ equity:

- Common stock of $25,000 issued to Chris Clark.
- Revenues and expenses, which resulted in net income of $3,050.
- Dividends of $2,000 paid to stockholders (Chris Clark).

These transactions are summarized in the statement of stockholders’ equity for **NetSolutions** shown in Exhibit 9.

Changes in each stockholders’ equity element are reported in a separate column on the statement of stockholders’ equity. Since NetSolutions was organized on November 1, there are no beginning balances for Common Stock or Retained Earnings. During November, common stock of $25,000 was issued and, thus, is entered in the Common Stock column. Net income of $3,050 and dividends of $2,000 are entered in the Retained Earnings column, yielding an ending balance of $1,050. Each change is carried over to the Total column. After all changes are entered, the columns are totaled, representing the final balances as of November 30. These ending balances for Common Stock and Retained Earnings and the total stockholders’ equity are reported on the November 30, 20Y3, balance sheet shown in Exhibit 9.

The ending common stock and retained earnings balances for November become the beginning balances for December. To illustrate, assume that during December NetSolutions issued no common stock, earned net income of $4,055, and paid dividends of $2,000. The statement of stockholders’ equity for December would be as follows:

NetSolutions
Statement of Stockholders’ Equity
For the Month Ended December 31, 20Y3

	Common Stock	Retained Earnings	Total

	Stock	Earnings	Total
Balances, December 1, 20Y3	$25,000	$ 1,050	$26,050
Net income		4,055	4,055
Dividends		(2,000)	(2,000)
Balances, December 31, 20Y3	$25,000	$ 3,105	$28,105

Instead of a statement of stockholders' equity, companies may prepare a **retained earnings statement** (A summary of the changes in the retained earnings in a corporation that have occurred during a specific period of time, such as a month or a year.) . This is often the case when a company has few (if any) common stock transactions. In such cases, only retained earnings changes from period to period.

To illustrate, a retained earnings statement for NetSolutions for December is as follows:

NetSolutions
Retained Earnings Statement
For the Month Ended December 31, 20Y3

Retained earnings, December 1, 20Y3		$1,050
Net income	$ 4,055	
Dividends	(2,000)	
Increase in retained earnings		2,055
Retained earnings, December 31, 20Y3		$3,105

Since most large companies report a statement of stockholders' equity, the statement of stockholders' equity will be used throughout the remainder of this text.